CHAPTER TWENTY-SIX

FINDING A SUCCESSOR

Appointing a New Chairman

In July 2010, Ratan announced that he would step down as chairman, Tata Sons, on 28 December 2012, when he would turn seventy-five. This was no surprise. He himself had set the rule that one could not serve as chairperson of any Tata company beyond that age. There was little doubt that he would not make an exception for himself, though many Tata veterans had hoped he would.

Newspapers started guessing the names of his possible successors. But it was a pointless exercise. Ratan, a stickler for rules and procedure, had, for the first time, provisioned for a selection committee to recommend a suitable candidate for the position of group chairman to the Tata Sons board. As early as in 2000, the Articles of Association of Tata Sons were amended to insert Article 118 to enable the change. A leading newspaper said that the decision to appoint the committee was ‘in line with Ratan Tata’s vision of transforming the group from a patriarchal concern to an institutional enterprise’.

Ratan had no favourites; neither did he want to play an active role in finding his successor. The creation of the selection committee was announced in a press release by Tata Sons on 3 August 2010, though committee members had been intimated about its planned meeting as early as in June. The committee consisted of N.A. Soonawala and Shirin Bharucha representing Tata Trusts, Cyrus Mistry and R.K. Krishna Kumar representing Tata Sons, and Lord Kumar Bhattacharyya as an independent member.

In a surprising move, Ratan chose to stay away from the selection committee as well, despite many wanting him to be part of it. It turned out